The External Business Environment

Exam code: 9BS0

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Updated on 23 January 2026

Political and legal environment

The political environment

- Government policy has had a **significant indirect impact** on the UK confectionery and biscuits markets over the last decade

Political influence	Explanation and impact
Focus on reducing sugar consumption	• The introduction of the **Soft Drinks Industry Levy in 2018** did not apply directly to confectionery, but it increased public awareness of sugar levels across food products • Confectionery businesses have faced growing pressure to demonstrate responsible practices, even without taxation • The impact has been **more direct in the biscuits market**, as biscuits are more closely linked to everyday consumption • Government concern about **high fat, salt and sugar (HFSS) foods**, which includes many sweet biscuits, has led to restrictions on **HFSS advertising online and before 9pm on TV**, as well as limits on **in-store promotion** and **product placement**

Decisions linked to Brexit	• Leaving the EU has increased:
	  ○ import costs for ingredients such as cocoa and sugar
	  ○ customs checks and paperwork
	  ○ uncertainty around supply chains
	• These changes have raised costs for UK confectionery producers, especially smaller firms that lack

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Got it

The legal environment

- Over the last decade, there has been a tightening of **food labelling** and **consumer protection laws**
- Confectionery and biscuit businesses must now:
  - clearly display allergen information
  - comply with stricter food safety regulations
  - ensure marketing claims are accurate and not misleading
- Confectionery and biscuits that can be reformulated to fall outside HFSS rules have gained a legal advantage
  - Examples include **lower-sugar** or **higher-fibre biscuits**,
- Legal changes following Brexit have also increased regulatory complexity, as UK businesses must now comply with **UK-specific rules** rather than EU-wide systems

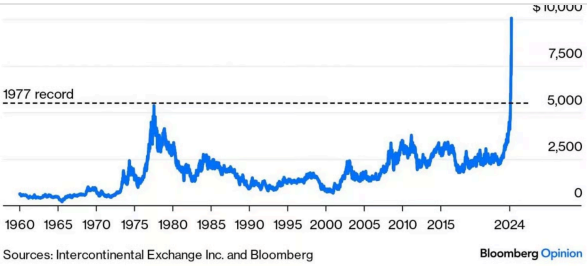
Impact on small businesses

- Political and legal changes tend to have a **greater impact on small businesses** than on large multinationals.
- For small confectionery and biscuit businesses:
  - Compliance costs are proportionally higher
  - Reformulating products is more expensive and risky
  - Legal advice and expertise are harder to afford
- Brexit-related paperwork and rising compliance costs have been especially challenging for small firms that:
  - rely on imported ingredients
  - export small volumes to the EU
  - operate with tight profit margins
- However, there are also **opportunities** for small businesses:
  - Premium and artisanal products are less reliant on price promotions
  - Ethical and transparent labelling can build trust
  - Small firms can adapt recipes and messaging more quickly than large firms

Help me understand

Economic environment

- The confectionery market has been strongly influenced by changes in the **UK economic environment**, particularly since 2020
  - Key economic factors include **high inflation, falling real incomes** and **rising production costs**
- Inflation peaked in **2022–2023**, increasing the cost of essential ingredients such as cocoa, sugar, milk and energy
  - Cocoa prices rose especially sharply due to poor harvests and supply shortages, pushing up production costs for chocolate manufacturers



Cocoa prices have surged to more than $10,000 per ton in recent years

- Biscuits, which are often bought as part of regular household shopping, have been more directly affected by economic pressure
  - This has led to a **greater focus on value for money**, increased demand for **own-label** **biscuits**, and **falling sales volumes**, even where total spending has risen
- Despite these pressures, demand for confectionery and biscuits has remained **relatively resilient**
  - Rather than stopping purchases altogether, consumers increasingly see them as **affordable treats**
  - Many have responded by
    - buying **smaller pack sizes** or **multipacks**
    - switching brands
    - waiting for promotions
    - reducing how often they buy
  - Premium biscuits have continued to grow, mainly among **higher-income consumers** who are less affected by rising living costs

Impact on small businesses

- Economic changes tend to **affect small confectionery and biscuit businesses more severely** than large multinationals
  - Rising ingredient and energy costs are harder to absorb
  - They have less bargaining power with suppliers
  - Cash flow becomes more unpredictable during periods of economic instability
- Unlike large firms, small businesses often cannot:
  - negotiate long-term fixed-price contracts
  - spread cost increases across a wide product range
  - rely on international sales to offset UK downturns
- As a result, small businesses may be forced to:
  - increase prices more sharply
  - reduce product ranges
  - limit growth plans or investment
- However, there are also opportunities for small businesses in difficult economic conditions
  - Some consumers reduce spending on eating out and choose **premium treats at home** instead
    - This can benefit artisan confectionery and biscuit producers

Social, ethical and environmental environment

The social environment

- Social changes over the last decade have had a strong influence on the UK confectionery market, particularly changes in **consumer attitudes to health, lifestyle** and **consumption habits**

Social trend	Explanation and impact

Increased health awareness	• Many consumers are increasingly aware of sugar intake and the long-term health effects of high-sugar diets
	• This has not removed demand for confectionery and biscuits, but it has **changed consumption patterns**
	  ○ Rather than eating large quantities frequently, consumers are more likely to consume treats **in moderation**, choosing smaller portions or buying them less often
	  ○ This has led to **reduced consumption of very sugary biscuits**, greater interest in **better-for-you options**, and increased demand for **portion-controlled** and **individually wrapped** products

Confectionery as a treat or reward	• Seeing confectionery and biscuits as a **treat or reward**, rather than an everyday product has increased demand for:
	  ○ premium chocolate
	  ○ smaller pack sizes
	  ○ products linked to emotional comfort

Changing lifestyles and working patterns	• These trends have supported continued demand for **snack-sized confectionery**, particularly products that can be eaten on the go
	• There has been increased demand for:
	  ○ lunchbox-friendly products
	  ○ multipacks

Social media influence	• Social media and food trends have increased interest in **new flavours** and **limited editions**, especially among younger consumers • For example, **McVitie's recently launched flavours such as Hot Honey**, inspired by social media food trends and promoted online

The ethical and environmental environment and the confectionery market

- Ethical and environmental concerns have become increasingly important in the confectionery market, particularly around **cocoa sourcing** and **labour practices**
  - Over the last decade, awareness has grown of **child labour**, **low farmer incomes** and **deforestation** linked to cocoa production
  - As a result, consumers are more interested in chocolate that is **ethically sourced**, **traceable** and **backed by clear sustainability commitments**
- Large brands have responded through ethical sub-brands and public sustainability pledges
  - However, **challenger brands such as Tony's Chocolonely** have gained attention by making ethics central to their identity rather than an add-on

Examples of ethically-produced chocolate by Tony's Chocolonely

- In the biscuit market, ethical and environmental concerns focus more on **ingredients** and **packaging** than global supply chains
  - Key issues include the use of **palm oil**, the sustainability of **wheat and sugar production**, and **excessive packaging and food waste**
  - Consumers are increasingly attracted to biscuits made with **sustainably sourced ingredients** and **recyclable or minimal packaging**
- Across both markets, environmental pressure has increased costs, as businesses invest in **recyclable packaging**, **improved energy efficiency** and **reduced food waste**.

challenges and opportunities for small confectionery and biscuit businesses
    - Ethical sourcing and sustainable packaging often involve higher costs
    - Meeting consumer expectations can be expensive and complex
    - Certification schemes (e.g. Fairtrade) can be costly and time-consuming

- However, small businesses often benefit because:
    - Ethical and environmental values can be built into the brand from the start
    - Consumers may trust small, transparent businesses more
    - Differentiation through ethics can justify premium pricing

- Small businesses that clearly communicate social and environmental values are often better placed to attract **loyal customers**, even if their products are more expensive

Technological environment

- Advances in **manufacturing** and **processing technology** have allowed large confectionery and biscuit producers to automate production
    - This helps them reduce unit costs, maintain consistent quality, and launch new products more quickly
    - Large firms; competitive positions have strengthened, especially in mass market chocolate and biscuits

- Developments in **food science** have supported product innovation
    - Examples include new flavours and textures, improved shelf life, and the creation of smaller or portion-controlled products

- Digital technology has transformed **marketing and consumer insight**
    - Social media platforms such as TikTok, Instagram and YouTube are now key tools for product launches and brand building, particularly among younger consumers
    - Businesses increasingly use **influencer marketing**, **short-form video** and **targeted online advertising**, as well as **sales data and social media trends**, to identify changing tastes and refine products

- E-commerce has grown alongside online grocery shopping
    - Brands now compete **digitally as well as on shelves**, and packaging must be suitable for delivery

- Technology has also improved **logistics**, making it easier to manage stock, forecast demand and respond quickly to changes in consumer behaviour.

- high costs of investing in new machinery or automation
- limited access to advanced food technology
- difficulty matching the production efficiency of large firms
- As a result, small businesses often have **higher unit costs**, making it harder to compete on price

- However, technology also creates important **opportunities** for small businesses to
  - sell directly to consumers through websites and online marketplaces
  - market products cheaply through social media
  - build strong brand identities without large advertising budgets
- Small firms can also use technology to:
  - manage orders and stock more efficiently
  - test new products in small batches
  - reach national or international customers without physical stores

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